

# A Sharp M-Matrix Threshold for a Two-Dimensional Oblique Skorokhod Map

Route-A source-local certificate HCS-C346

3 September 2026

## Abstract

For oblique regulation in the quadrant with the stated two-axis reflection matrix  $R$ , we prove the *fixed point and sharp M-matrix chamber*: every càdlàg input has one and only one regulated path precisely when  $\rho\sigma < 1$ . We add *weighted stability, Picard, and time change*: the natural norm has contraction factor  $\sqrt{\rho\sigma}$ , explicit solution stability, monotone geometric iteration, causality and reparameterization covariance.

## 1 Convention and the sharp existence theorem

Fix  $T < \infty$ ,  $\rho, \sigma \geq 0$ , and

$$R = \begin{pmatrix} 1 & -\rho \\ -\sigma & 1 \end{pmatrix}.$$

Let  $x = (x_1, x_2) \in D([0, T], \mathbb{R}^2)$  with  $x(0) \geq 0$  coordinatewise. A solution consists of càdlàg  $z, y$  such that

$$z = x + Ry \geq 0, \quad y(0) = 0, \quad y_i \text{ is nondecreasing}, \quad \int_{[0, t]} z_i(s) dy_i(s) = 0. \quad (1)$$

The integrand is the *post-jump* state. Thus a regulator jump is supported on an axis after the jump, including simultaneous corner jumps.

For scalar càdlàg  $f$ , write

$$(\mathcal{L}f)(t) = \sup_{0 \leq s \leq t} [-f(s)]_+.$$

**Lemma 1** (One-sided regulator). *If  $f(0) \geq 0$ , the unique nondecreasing càdlàg  $r$ , with  $r(0) = 0$ , for which  $g = f + r \geq 0$  and  $\int g dr = 0$  is  $r = \mathcal{L}f$ . Moreover,*

$$\|\mathcal{L}f - \mathcal{L}h\|_\infty \leq \|f - h\|_\infty. \quad (2)$$

*Proof.* The running supremum is the least nondecreasing correction making  $f + r$  nonnegative. It increases only at a new negative running minimum, where the post-jump corrected state is zero. Conversely, feasibility forces every regulator to dominate  $\mathcal{L}f$ . A first strict excess would be an increase with positive corrected state, contradicting complementarity. Finally, positive part and running supremum are one-Lipschitz, proving (2).  $\square$

**Theorem 2** (Sharp all-input threshold). *Problem (1) has exactly one solution for every admissible input and every finite horizon if and only if*

$$\rho\sigma < 1. \quad (3)$$

*Inside this chamber, its regulator is the unique solution of*

$$y_1 = \mathcal{L}(x_1 - \rho y_2), \quad y_2 = \mathcal{L}(x_2 - \sigma y_1). \quad (4)$$

*Proof.* With the other coordinate held fixed, each line of (1) is the scalar problem in Lemma 1; hence (1) and (4) are equivalent. Conversely, at time zero the fixed-point equations and  $x(0) \geq 0$  imply  $y_1(0) \leq \rho y_2(0)$  and  $y_2(0) \leq \sigma y_1(0)$ ; since  $\rho\sigma < 1$ , both values vanish. Thus the fixed point has the required initial condition.

First suppose  $\rho, \sigma > 0$ , put  $w_1 = \sqrt{\rho}$ ,  $w_2 = \sqrt{\sigma}$ ,  $q = \sqrt{\rho\sigma}$ , and define

$$\|u\|_w = \max_{i=1,2} \frac{\|u_i\|_\infty}{w_i}.$$

For the right side  $\Phi_x$  of (4), inequality (2) gives

$$\|\Phi_x(u) - \Phi_x(v)\|_w \leq q\|u - v\|_w.$$

Thus (3) makes  $\Phi_x$  a contraction on the complete space of bounded càdlàg pairs. Its unique fixed point is càdlàg and solves the problem. The constant  $q$  is the best uniform coefficient: each weighted cross-coordinate estimate can be attained by a constant difference after a suitable downward input shift.

If  $\rho = 0$ , solve successively  $y_1 = \mathcal{L}x_1$  and  $y_2 = \mathcal{L}(x_2 - \sigma y_1)$ ; if  $\sigma = 0$ , reverse the order. This also covers  $\rho = \sigma = 0$  and proves sufficiency.

For necessity, let  $\rho\sigma = 1$ . Then  $R(\rho, 1)^\top = 0$ , so zero input has the distinct solutions

$$y = (\rho h, h), \quad z = 0, \quad (5)$$

for every nondecreasing càdlàg  $h$  with  $h(0) = 0$ . More strongly, whenever  $\rho\sigma \geq 1$ , an input jumping from zero to  $(-1, -1)$  cannot be feasible: the post-jump values would obey

$$y_1 \geq 1 + \rho y_2, \quad y_2 \geq 1 + \sigma y_1,$$

and hence  $(1 - \rho\sigma)y_1 \geq 1 + \rho$ , an impossibility. Therefore no point on or beyond the wall is well posed for every input.  $\square$

## 2 Quantitative stability and path structure

**Theorem 3** (Stability and constructive convergence). *Assume  $\rho, \sigma > 0$  and  $q < 1$ . If inputs  $x, x'$  have solutions  $(z, y), (z', y')$ , then*

$$\|y - y'\|_w \leq \frac{\|x - x'\|_w}{1 - q}, \quad \|z - z'\|_w \leq \frac{2\|x - x'\|_w}{1 - q}. \quad (6)$$

Starting with  $y^{(0)} = 0$  and setting  $y^{(n+1)} = \Phi_x(y^{(n)})$  gives a coordinatewise increasing sequence and

$$\|y^{(n+1)} - y^{(n)}\|_w \leq q^n \|y^{(1)}\|_w, \quad (7)$$

$$\|y - y^{(n)}\|_w \leq \frac{q^n}{1 - q} \|y^{(1)}\|_w. \quad (8)$$

The solution map is causal, preserves continuity, and commutes with continuous nondecreasing onto time changes that preserve the endpoints.

*Proof.* For two inputs, the scalar estimate gives

$$\|\Phi_x(u) - \Phi_{x'}(v)\|_w \leq \|x - x'\|_w + q\|u - v\|_w.$$

Evaluate it at the two fixed points for the first inequality in (6). Each normalized row of  $R$  has weighted absolute sum  $1 + q$ , whence

$$\|R(y - y')\|_w \leq (1 + q)\|y - y'\|_w.$$

Using  $z - z' = x - x' + R(y - y')$  yields the second inequality. The map  $\Phi_x$  is order preserving and  $0 \leq \Phi_x(0)$ , so Picard iterates increase. Contraction gives (7), and summing its geometric tail gives (8).

Running suprema use only the past, so uniqueness gives causality. They map continuous functions to continuous functions; uniform Picard convergence then preserves continuity. If  $\lambda : [0, T'] \rightarrow [0, T]$  is continuous, nondecreasing, onto, and endpoint preserving, its initial images satisfy  $\lambda([0, t]) = [0, \lambda(t)]$ . Consequently

$$\mathcal{L}(f \circ \lambda) = (\mathcal{L}f) \circ \lambda.$$

Compose (4) with  $\lambda$  and use uniqueness. Flat pieces of  $\lambda$  simply pause both state and regulator.  $\square$

**Remark 4.** *When one weight vanishes, the weighted norm is not defined. The triangular formulas in Theorem 2 are the correct boundary statement; no singular limiting norm is smuggled into that face.*

## Source lineage

This source-local reconstruction makes no literature-priority claim.

## References

- [1] J. M. Harrison and M. I. Reiman, “Reflected Brownian Motion on an Orthant,” *Annals of Probability* 9 (1981), 302–308. DOI: [10.1214/aop/1176994471](https://doi.org/10.1214/aop/1176994471).
- [2] P. Dupuis and H. Ishii, “On Lipschitz Continuity of the Solution Mapping to the Skorokhod Problem, with Applications,” *Stochastics and Stochastics Reports* 35 (1991), 31–62. DOI: [10.1080/17442509108833688](https://doi.org/10.1080/17442509108833688).